

3) **Environmental Issues**

The future population growth will have a major impact upon country's demand for water, food production, forest products, non-renewable resources, etc. The aim is to ensure that development is sustainable where the needs of present generation are met and the resources for future generation are secured. The rapid urbanisation and growth of industrial production had a major impact on environmental quality. Hence it is important to ensure that benefits of demographic dividend do not come at the cost of the environment.

4) **Family Planning Programme**

India's demographic window of opportunity involves acceleration of fertility decline. The expansion of family planning services and satisfying India's unmet need for contraception would help India bring down the total fertility rate below replacement level. Secondly vaccination against childhood disease would improve the probability of infant and child survival and lower fertility rate. Expansion of coverage of established and inexpensive vaccinations such as those against polio, tetanus, measles or inclusion of expensive vaccinations against rotavirus, pneumococcal disease and Haemophilus influenza type b (Hib) would address the leading causes of child death in India.

The provision of high-quality family planning and reproductive health care services will certainly benefit the bottom sections of the society and women. The faster pace of fertility decline will also ensure that growth of youth entering labour force decline which would enhance employment prospects and increase standard of living of people. Parents can invest in health and education of their children that would help in building skilled and productive workforce of our nation. Family planning is also instrumental in reducing pressure on environmental resources.

5) **Good Governance**

In a nation where institutions function efficiently there is transparency in legal system, low level of corruption, respect for property rights and sanctity of contracts exist, the development accelerates at a fast pace. A good governance model is the key ingredient to balanced growth, equity and stability in the nation. It helps in channelising the resources in an efficient manner so that youth gets productively absorbed in the agriculture, manufacturing and services sector. Policies that promote inclusive economic growth avoid severe trade imbalances and reduce inflation should be encouraged. The governance model comprises not only of prudent fiscal and monetary policies but also well developed and competitive financial markets. Labour markets with labour reforms can ensure that rights of workers are protected and secured.

The daunting challenge of training large workforce and skilling them while ensuring quality and speed with the help from private and public sector is before us. To realise the benefits of demographic dividend India needs reforms in primary, secondary and higher education along with health infrastructure that can equip the young population. We also need to correct the mismatch between demand and supply of skills and address these issues in time-bound manner. Massive effort is needed in improving investment in social infrastructure, empowerment of women and skill development.

In the long run population growth shall necessitate administrative reforms and decentralisation of governance. With millions of people getting added every year we need modern technology and strong public service delivery. With the help of information and digital technology India can remove multiple layers of governance. Schemes like direct benefit transfer, Jandhan yojana, e-payment under Mahatma Gandhi National Rural Employment Guarantee facilitated the beneficiaries and were useful social sector programmes. The success, however, depends upon greater degree of accessibility to information for the public, greater accountability, transparency, efficiency and proper execution of policies of the government.

3.6.1 Capturing India's Demographic Dividend

India has the advantage of harnessing the benefits of demographic dividend but this is neither obvious nor guaranteed. It requires favourable policies and institutions along with good governance to reap the benefits in time bound manner. The proper execution of right policies will reduce the gap between potential demographic dividend and the actual demographic dividend. India has huge potential and opportunities in health and education sector. The establishment of Public Health Foundation of India and National Rural Health Mission is significant step in promotion and protection of health including training and deployment of health professionals who focus on prevention, treatment and care. Similarly India's demographic dividend is nothing but education dividend based on empirical findings of research papers. The secondary and higher education will equip India's youth with skills that are needed in knowledge and technology based economy. The productive work-force and ample job opportunities are essential in unlocking the demographic dividend.

A new model of development is essential to capture demographic dividend. The model should emphasise on three pillars of development- Education, Health and Employment. India needs combination of various approaches and policies and proper execution to harness the window of opportunity. The model of development should reconcile growth rate with employment generation and 'decent work for all' as its ultimate objective. Instead of spending on subsidies the government should spend resources on development of rural infrastructure in form of minor irrigation and watershed development that raises productivity and employment opportunities.

Poor states like Bihar, Madhya Pradesh, Rajasthan and Uttar Pradesh have been experiencing falling fertility rates and rising share of working age population. But favourable demographics are not supported by quality education and productive employment opportunities for millions of youth entering labour force. Hence the untapped demographic potential will go waste if not acted upon at the right time. The role of government is to identify skill gaps in different states and execute the policies that are suitable to capture the demographic dividend.

Check Your Progress 3

- 1) Explain the concept of Demographic Dividend. Is India's demographic transition supportive of enabling her to harness this dividend?

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- 2) In order to realise the demographic dividend India needs reforms in education, health and employment generation. Explain.

- 3) Youth unemployment is one of the biggest challenges that our nation is facing today. Explain. What are the policies that government should adopt to overcome this challenge?

3.7 LET US SUM UP

Demographics matter for economic development. India has several advantages that can make potential demographic dividend become actual demographic dividend. But there are several constraints as well that make the gap between the potential and the actual demographic dividend difficult to bridge. Demographic dividend manifests itself when there is careful interaction of demographic change with policies in the areas of education, health, trade, governance, labour market conditions and capital markets. A productively employed working age population is the key to realisation of actual demographic dividend. A healthy workforce that is educated and productively absorbed in different sectors is always an asset for a nation. To attain the goal of absorption of millions of youth entering labour force every year we need to emphasise on improved health care facilities, human resource development skills, quality education, reduction of malnutrition and productive employment opportunities. The effect of labour force participation rates especially female labour force participation shall also determine India's ability to unlock the demographic dividend. This window of opportunity will close around 2040. Hence, given the limited time and resources and huge unemployed pool of manpower it is a challenging task for any government. It will not take much for the demographic dividend to turn into demographic disaster. How effectively India tackles this issue will determine its progress to becoming a developed nation in the near future.